CHAPTER SEVEN: RIGOROUS FEASIBILITY AND VIABILITY ANALYSIS

In business decision-making, two terms are often used interchangeably—feasibility and viability. Although closely related, they answer fundamentally different questions about a project, investment, or new venture. Confusing the two can lead to costly mistakes: organizations may pursue projects that are possible to execute but incapable of sustaining themselves, or abandon ideas that could be profitable simply because they appear difficult at first glance.

A sound project evaluation requires examining both feasibility and viability. Feasibility determines whether something can be done, while viability determines whether it should be done.

This chapter explains these concepts in depth, outlines their differences, and demonstrates how they work together in practical decision-making.

FEASIBILITY

Feasibility refers to the practical possibility of implementing a project using available resources, technology, expertise, and time.

It is primarily an execution-oriented assessment.

Do we have the capability to do this?

Feasibility does not concern itself with profit or long-term sustainability. Instead, it focuses on whether the idea can be translated into reality without insurmountable obstacles.

A comprehensive feasibility study typically examines:

a) Technical Feasibility: Do we possess the required technology? Can the product or service be delivered as envisioned? Are there technical risks?

b) Operational Feasibility: Do we have trained personnel? Can operations be sustained day-to-day? Are supply chains dependable?

c) Resource Feasibility: Availability of capital equipment Access to raw materials, Human resources capability

d) Legal and Regulatory Feasibility: Licenses, approvals, zoning requirements Compliance with statutory norms

e) Schedule Feasibility: Can the project be completed within the desired timeframe?

2.3 Outcome of Feasibility

A project is considered feasible if:

- There are no practical barriers preventing execution.
- Required resources can be arranged.
- The organization has the competence to deliver.

Feasibility answers If *It is possible.*

VIABILITY

Viability refers to the economic justification and long-term sustainability of a project.

It is a value-oriented assessment—concerned with whether the project creates sufficient benefit to justify the effort and investment.

Will this make sense financially and strategically over time?

A project may be perfectly feasible yet fail to be viable if it cannot generate adequate returns or survive in the marketplace.

a) Financial Viability: Expected revenue vs. cost structure, Profit margins, Cash flow sustainability, Break-even analysis

b) Market Viability: Is there sufficient demand? Who are the customers? What is the competitive landscape?

c) Economic Viability: Return on investment (ROI), Payback period, Risk vs. reward balance

d) Strategic Viability: Alignment with long-term goals, Brand positioning and scalability, Future growth potential

A project is viable if: It can sustain itself financially, It delivers acceptable returns, It remains relevant over time.

Viability answers If *It is worth doing.*

Organizations sometimes stop analysis after determining feasibility. This is dangerous.

A project may be technically sound, be executable, meet all regulatory norms, yet still fail because customers do not exist, pricing is unsustainable, operating costs exceed revenue.

Feasibility ensures you can build the bridge. Viability ensures someone will use it and pay for it.

Viability Cannot Be Considered Without Feasibility

The reverse error is equally problematic—being attracted to attractive financial projections without understanding execution constraints.

An idea may appear highly profitable but may fail because:

- Required technology is unavailable,
- Skills are lacking,
- Infrastructure is impractical,
- Implementation risks are too high.

Viability without feasibility is optimism without foundation.

In practice, project evaluation should follow a logical progression:

Concept Validation: Is the idea meaningful?

Feasibility Study: Can we implement this successfully?

Viability Assessment: Will it sustain itself and generate value?

Risk Analysis: What can go wrong, and how do we mitigate it?

Decision: Proceed, modify, or abandon.

Decision-makers must remember:

- Engineers often emphasize feasibility.
- Finance professionals emphasize viability.
- Successful leadership integrates both perspectives.

Ignoring either dimension leads to imbalance:

- Overengineering without market demand.
- Financial enthusiasm without execution capability.

Feasibility and viability together form the foundation of rational project planning.

- Feasibility transforms ideas into actionable plans.
- Viability transforms plans into sustainable success.

In simple terms:

Feasibility determines whether a project can be done. Viability determines whether it deserves to be done.

A disciplined organization does not pursue opportunities merely because they are achievable—it pursues those that are both achievable and worthwhile. That intersection is where enduring success lies.

Feasibility analysis is a structured assessment of the practicality of a proposed plan. It answers the fundamental question: *Can this idea work, and should we pursue it?*

PROBLEM-SOLUTION FIT

At the heart of every successful innovation lies problem–solution fit—the degree to which a proposed solution genuinely addresses a real, meaningful problem faced by users. Many creative ideas fail not because they lack novelty or intelligence, but because they solve the wrong problem, solve it for the wrong audience, or solve it in a way users do not value.

Problem–solution fit exists when:

The problem is real and painful, not hypothetical
The pain and proposed gain are from/for the same party.
The target user clearly recognizes the problem
The solution directly addresses that pain
Users are willing to change behaviour to adopt the solution

It answers one essential question:
"Are we building something people actually need?"

Examples of Strong Problem–Solution Fit
Example 1: Ride-Hailing Platforms

Problem: Urban commuters face unreliable taxis, opaque pricing, and poor availability—especially during peak hours. Taxi drivers did not know, who wanted a cab to go to a location that they are comfortable to go to at a price that they are comfortable to run.

Solution: On-demand ride-hailing apps offer real-time availability, transparent pricing, cashless payments, and driver ratings.

Why the Fit Works:

The problem is frequent and emotionally frustrating

The solution is simpler than existing alternatives, cheaper than existing options, more profitable for the taxi drivers.

Users already had a smart phone and data connection – no additional cost.

Immediate, visible improvement in user experience. Adoption was rapid because users instantly recognized the value.

Example 2: Digital Payments in India

Problem:

Government wanted to route all cash transaction through bank channel to improve tax compliance.

Cash-based transactions were inconvenient, unsafe, and inefficient—especially for small merchants and peer-to-peer payments, who had to deposit cash or cheque at the bank, issue cheques.

Solution:

UPI enabled instant, low-cost, bank-to-bank transfers via mobile phones.

Why the Fit Works:

Government wanted this and they drove this, paid for this.

Bank accounts were opening for almost every one, Smart phone with data available with everyone.

Reduced cost of cheque-based clearing and cash handling at the banks.

Minimal learning curve and zero transaction cost to users

Large players, G Pay, Paytm, Phone Pe invested to grab market share. (Audio devices) – Are they making money?

How to Test for Problem–Solution Fit

Before scaling, innovators should ask:
Do users actively seek workarounds today?
Would users be disappointed if this solution disappeared?
Are users willing to pay, switch, or invest effort?

Tools to validate fit include:
User interviews and observation
Minimum viable products
Pilot programs
Behaviour-based metrics

Fit Is a Moving Target: Problem–solution fit is not permanent. As markets evolve, user expectations change. Continuous learning and adaptation are essential to maintain relevance.

INDUSTRY/MARKET FEASIBILITY - TEST

Simple tests:

Market sizing helps an entrepreneur or strategist understand how big an opportunity really is and how much of it can realistically be captured. It prevents two common mistakes: overestimating demand and under planning resources.

1. TAM – Total Addressable Market represents the total market demand for a product or service if 100% of potential customers were to buy it, with no competition and no constraints.

Shows the theoretical maximum opportunity. Useful for long-term vision, investor discussions, and industry potential. Helps answer: "If everything goes right, how big can this become?"

If you are starting a coffee chain in India, you will find

Total number of coffee drinkers in India × average annual spends on coffee. This entire value represents the TAM, even though you will never serve all of them.

Key Insight

TAM is aspirational, not realistic. It should inspire vision, not guide immediate planning. You cannot decide to buy a piece of land and plant rice, calculating the global rice eating population x per capita rice consumption x rice price.

2. SAM – Serviceable Available Market is the portion of the TAM that your products, services, and business model can actually serve, considering geography, regulations, price points, and capabilities.

Narrows down the market to what is relevant. Helps with strategy and resource planning. Answers: “Who can I realistically serve?”

Continuing the coffee business, you find details about
Urban coffee drinkers in South India, Customers who prefer cafés over roadside vendors, Price-sensitive range you operate in

SAM introduces real-world constraints—location, logistics, customer behaviour, and affordability.

3. SOM – Serviceable Obtainable Market is the portion of the SAM that you can realistically capture, given competition, marketing strength, operational capacity, and brand presence.

Used for financial projections. Helps answer: “What share of the market can we actually win?” Critical for revenue forecasts and break-even analysis

If your SAM is ₹500 crore annually, capturing even 2–5% may be realistic in the first few years, that share is your SOM.

SOM is grounded in reality. It reflects execution capability, not ambition.

Relationship Between TAM, SAM, and SOM

TAM = The universe
SAM = Your reachable planet
SOM = Your actual territory

A strong business plan shows:
A large TAM (big opportunity)
A well-defined SAM (clear focus)
A credible SOM (believable execution)

PORTER'S FIVE FORCES ANALYSIS

Porter's Five Forces is a framework used to assess industry attractiveness and competitive intensity. It helps determine whether a market is likely to be profitable or hostile over time.

1. Threat of New Entrants

How easy is it for new competitors to enter the market?

Capital requirements
Brand loyalty
Regulatory barriers
Access to distribution
Economies of scale

Example: A neighbourhood café: Low entry barriers, An airline or telecom business: High entry barriers

Impact
High threat → Lower margins due to frequent new competitors
Low threat → More stable and defensible profits

2. Bargaining Power of Buyers

How much power do customers have to influence pricing and quality?

Number of alternatives available
Price sensitivity
Switching costs
Volume of purchase

Example: Coffee drinkers can easily switch cafés → High buyer power
Specialized industrial equipment buyers → Lower buyer power

Impact
High buyer power → Pressure on prices and margins

3. Bargaining Power of Suppliers

How much control do suppliers have over input costs and availability?

Number of suppliers
Uniqueness of raw materials
Switching costs
Supplier concentration

Example: Many milk suppliers → Low supplier power
Single-source imported machinery → High supplier power

Impact

High supplier power → Increased costs and reduced profitability

4. Threat of Substitute Products or Services

How easily can customers switch to an alternative solution?

Availability of substitutes
Price-performance trade-off
Customer habits

Example:
Café coffee vs instant coffee or home brewing,
Taxi services vs metro, buses, or personal vehicles

Impact

High threat of substitutes → Constant pressure on pricing and differentiation

5. Rivalry Among Existing Competitors

How intense is competition among current players?

Number of competitors
Market growth rate
Product differentiation
Exit barriers

Example:

Saturated restaurant market → Intense rivalry
Niche medical devices → Moderate rivalry

Impact
High rivalry → Price wars, higher marketing costs, thinner margins

TAM–SAM–SOM answers: "How big is the opportunity and what part can we capture?"

Porter's Five Forces answers: "How hard will it be to make money in this market?"

Used together, they ensure Realistic expectations and smarter market entry decisions, Stronger business plans and investor confidence

ORGANIZATIONAL CAPABILITY TEST

Even the most attractive market opportunity and the most elegant business model can fail if the organization behind it lacks the capability to execute. Organizational feasibility examines whether the proposed venture has — or can realistically build — the human, operational, and structural capacity required to deliver on its promises.

In simple terms, this is the capability test:

Can this team, with the resources available, actually make this business work?

Organizational feasibility focuses on people and resources, rather than ideas and numbers.

1. Management Prowess

Management prowess refers to the ability of the founding and leadership team to translate a business plan into day-to-day execution. It is not just about qualifications, but about judgment, adaptability, and leadership under uncertainty.

Investors often say: “We invest in people first, ideas second.” This is because strong teams can fix weak plans, but weak teams will destroy strong plans.

a) Passion and Commitment

Is the founding team emotionally invested in the venture?

Are they willing to sustain effort during slow growth, setbacks, and uncertainty?

Is this a full-time commitment or a side project?

Startups rarely follow the original plan. Passion provides the stamina required to persist when early results are discouraging.

Watch out for founders who are excited about the idea but reluctant to leave secure jobs or take personal responsibility for outcomes.

b) Relevant Domain Expertise

Do the founders understand the industry deeply?

Have they worked with similar customers, suppliers, or technologies?

Do they know the unwritten rules of the sector?

Industry knowledge reduces learning time, costly mistakes, and credibility gaps.

A café venture led by someone with years of food-service experience is more feasible than one run by a complete outsider with no operational exposure.

Watch out for overreliance on theoretical knowledge or generic management skills with no industry grounding.

c) Execution and Operational Experience

Has the team previously executed projects of similar scale or complexity?

Do they understand operations, timelines, and coordination?

Can they manage vendors, employees, and customers simultaneously?

Execution is about getting things done repeatedly and reliably, not about ideation.

Watch out for teams that are excellent at planning and presentations but weak at operational follow-through.

d) Complementary Skill Sets

Do the founders bring different but complementary skills?

Are key functions covered — operations, marketing, finance, technology?

Is decision-making balanced or dominated by one personality?

A venture needs multiple competencies, not clones of the same skill profile.

One founder handle operations and supply chain, other handles sales and customer engagement, the third manages finance and compliance

Watch out for teams where everyone has the same background, leaving critical gaps unaddressed.

e) Leadership and People Management Ability

Can the founders attract, motivate, and retain talent?
Do they communicate clearly and set expectations?
Can they handle conflict and make tough decisions?

As the venture grows, success depends less on founders "doing" and more on them leading others to do.

Watch out for founders who micromanage everything or avoid difficult conversations.

Resource Sufficiency (Non-Financial Resources)

While financial feasibility answers "Can we afford this?", resource sufficiency asks:

"Do we have access to everything else required to operate effectively?" Many ventures fail not due to lack of money, but due to missing operational resources.

Do we have a map of Human Resources (Skilled Employees) required.

Are the required skills available in the job market?

Can the venture attract talent at early-stage compensation levels?

Is training time manageable?

People convert strategy into results. Poor hiring leads to operational chaos and customer dissatisfaction.

Physical Infrastructure

Office space, retail location, factory, or kitchen facilities

Adequacy of size, layout, and utilities

Compliance with safety and regulatory requirements

Infrastructure directly affects efficiency, employee productivity, and customer experience.

Technology and Systems

Operational systems (billing, inventory, scheduling)

Communication and collaboration tools

Scalability of systems as the business grows

Key Partnerships and Networks

Reliable suppliers and vendors
Distribution or logistics partners
Strategic alliances or mentors

Partnerships reduce risk, improve speed to market, and enhance credibility.

Organizational Structure and Governance

Clear roles and responsibilities
Decision-making authority
Basic governance and accountability mechanisms

Ambiguity leads to delays, conflict, and execution failure.

Organizational feasibility is not about perfection, but about credibility.

FINANCIAL FEASIBILITY – THE VIABILITY TEST

Financial feasibility evaluates whether a proposed venture is economically viable — not just on paper, but in real operating conditions. Will this venture survive financially long enough to succeed?

Unlike market attractiveness or organizational capability, financial feasibility is binary: either the numbers work, or they do not. Optimism, passion, and vision must ultimately submit to cash flow reality.

1. Initial Capital Requirements

Initial capital requirements represent the total cash needed to take the business from idea stage to the first sustainable sale, including buffers for delays and unexpected costs.

A common mistake is to calculate only setup costs. True financial feasibility requires estimating pre-revenue survival capital.

Components of Initial Capital Requirements

a) Fixed (One-Time) Setup Costs. These are expenditures incurred before operations begin.

Land, building, or lease deposits

Machinery and equipment
Furniture, fixtures, and fittings
Licensing, permits, and registrations
Initial branding and marketing
IT systems and software setup

These costs are often irreversible and form the sunk cost base of the venture.

Watch out for estimations based on hearsay or on best-case vendor quotes without details

b) Pre-Operating Expenses

Costs incurred before the first sale but after setup begins.

Staff recruitment and training
Trial runs and pilot testing
Utility charges during commissioning
Professional fees (legal, accounting, consulting)

c) Working Capital Requirement

Working capital is the cash needed to run day-to-day operations until inflows stabilize.

Raw material inventory
Wages and salaries
Rent and utilities
Marketing and promotional expenses
Credit extended to customers

Many profitable businesses fail due to working capital starvation.

d) Contingency Buffer

A prudent feasibility study includes a contingency margin (typically 20–25%). This will help buffer delayed approvals, cost overruns, Slower-than-expected customer traction etc

2. Financial Projections

Financial projections are forward-looking estimates of income, expenses, and profitability over a defined period (usually

3–5 years). They translate assumptions into numbers and expose hidden weaknesses.

Projections do not need to be precise — they need to be logical, consistent, and credible.

Core Financial Statements in Projections
a) Revenue Projections

Pricing strategy
Sales volume assumptions
Growth rate over time
Customer acquisition speed
Approach
Bottom-up estimation is preferred
Number of customers × price × frequency
Avoid market-share-based shortcuts

b) Cost and Expense Projections

1. Fixed Costs
Rent
Salaries
Insurance
Administrative expenses

2. Variable Costs
Raw materials
Packaging
Sales commissions
Logistics

c) Profitability Estimates

Gross margin
Operating profit
Net profit

Is the business structurally profitable, or does it depend on volume miracles?

d) Cash Flow Projections - “Will we have money in the bank when we need it?”

Profits can exist on paper while cash is negative
Cash shortages kill businesses faster than losses
Timing of inflows vs outflows
Credit terms
Inventory cycles

Scenario Analysis

Best-case
Expected-case
Worst-case scenarios

This tests resilience under adverse conditions.

3. Breakeven Analysis

Breakeven analysis calculates the level of sales at which total revenues equal total costs, resulting in neither profit nor loss.

How much do we need to sell just to survive?

Key Elements of Breakeven Analysis
a) Fixed Costs
Costs that do not change with sales volume.
Rent
Salaries
Depreciation

b) Variable Costs per Unit
Costs directly linked to each unit sold.
Raw materials
Direct labour
Packaging

c) Contribution Margin
Contribution Margin = Selling Price – Variable Cost per Unit

This margin contributes to covering fixed costs.

A venture passes the viability test if:

Capital requirements are realistic and fundable
Projections are conservative and assumption-driven
Breakeven is reachable within operational constraints

The ultimate question is:

Can this business absorb early shocks and still stay alive?

Markets fluctuate, Costs rise unexpectedly, Revenues arrive late. Only financially viable ventures endure long enough to benefit from learning and growth.

1. Technical Feasibility – Can we build it?
2. Economic Feasibility – Is it financially viable?
3. Operational Feasibility – Will it work in practice?
4. Legal and Regulatory Feasibility – Are there compliance risks?
5. Schedule Feasibility – Can we deliver on time?
6. Market Feasibility – Will customers want it?

Each dimension must be evaluated rigorously, not in isolation but as part of an integrated whole.

WHY CRITICAL REVIEWS

1. Reduces Risk

Identifies potential pitfalls early, allowing for mitigation strategies.

2. Improves Resource Allocation

Ensures time, money, and talent are invested in ideas with real potential.

3. Strengthens Stakeholder Confidence

Provides data-driven justification for moving forward.

4. Accelerates Decision-Making

Clarifies go/no-go decisions with structured evidence.

5. Enhances Strategic Alignment

Ensures initiatives support broader organizational goals.

HOW TO CONDUCT RIGOROUS FEASIBILITY ANALYSIS

Step 1: Define the Scope

- What is the idea?
- What problem does it solve?
- Who are the stakeholders?

Step 2: Conduct Preliminary Research

- Market trends
- Competitor analysis
- Technological landscape

Step 3: Evaluate Each Dimension

Technical Feasibility

- Do we have the skills, tools, and infrastructure?
- Are there technological constraints?
- What are the integration challenges?

Economic Feasibility

- Cost-benefit analysis
- Break-even point
- ROI projections
- Sensitivity analysis

Operational Feasibility

- Workflow impact
- Staffing needs
- Training requirements
- Scalability

Legal and Regulatory Feasibility

- Licensing
- Data protection
- Environmental regulations
- Industry-specific compliance

Schedule Feasibility

- Project timeline
- Milestones
- Dependencies
- Risk of delays

Market Feasibility

- Customer needs
- Market size
- Adoption barriers
- Pricing strategy

Risk Assessment

- Identify risks across dimensions
- Rate likelihood and impact
- Develop mitigation plans

PROMOTING FEASIBILITY AND VIABILITY STUDEIS

To embed this skill in intrapreneurial journey, focus on:

Key Competencies:

- Analytical thinking
- Financial literacy
- Process thinking
- Scenario planning
- Communication and persuasion

Rigorous feasibility analysis is not about killing ideas—it's about refining them, even though a few ideas will be killed and will re-emerge stronger. It transforms vision into strategy, creativity into execution, and ambition into impact. For intrapreneurs, it's the bridge between inspiration and implementation.